Human Resource Management - Set 3

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. In India, minimum wages are legally fixed under the
A. Indian Contract Act
B. Companies Act, 2013
C. Minimum Wages Act, 1948
D. Consumer Protection Act

2. Stationing persons at the factory gate to dissuade workers from reporting for work is
A. gherao
B. picketing
C. lockout
D. retrenchment

3. Quitting of work by a group of workers to pressure the employer to accept demands is a
A. strike
B. lockout
C. picketing
D. gherao

4. Which is an on-the-job training method?
A. Lecture in a seminar hall
B. Job rotation
C. Simulation lab away from work
D. Case study in a classroom

5. Job evaluation begins with
A. retrenchment
B. strike
C. job analysis
D. collective bargaining

6. Benefits payable due to an enterprise's decision to terminate employment before normal retirement, or voluntary retirement, are
A. vested benefits
B. termination benefits
C. defined contribution
D. short-term benefits

7. A panel interview is conducted by
A. an auditor
B. a single interviewer by phone only
C. the candidate's friends
D. a group of interviewers

8. The relative pay differential among various jobs within an organisation is the
A. pay structure
B. pay form
C. basis for pay increase
D. pay level

9. A wage survey is conducted to
A. find out how many employees are absent from work every month
B. study the working conditions in the factory canteen
C. decide the number of vacancies to be filled in the next year

D. compare the organisation's pay with pay in the labour market

10. If a worker is still not satisfied after the manager's revision, the matter may be referred to
A. dismissal of the worker with one month's notice
B. an immediate lockout of the department concerned
C. voluntary arbitration
D. a compulsory strike notice to the management

11. In BARS, a rating of 5 is described as
A. Satisfactory
B. Needs improvement
C. Poor
D. Outstanding

12. Under the classification method, jobs are
A. assigned to predetermined job classes or grades
B. scored using points
C. ranked as a whole from top to bottom
D. compared factor by factor with key jobs

13. Trade unions generally prefer which objective criterion for pay rises?
A. Potential
B. Seniority
C. Individual negotiation
D. Performance rating

14. A short-term arrangement that temporarily assigns a replacement in sudden situations is
A. emergency / interim succession planning
B. career pathing of the employees across several positions
C. departure-defined planning started when a key employee leaves
D. strategic leadership development extending over several years

15. Planning, organising, directing and controlling of HR activities are the
A. marketing functions of HRM
B. operative functions of HRM
C. financial functions of HRM
D. managerial functions of HRM

16. Which is an EXTERNAL factor influencing compensation?
A. Inflation
B. Organisation's strategy
C. Employee seniority
D. Job evaluation

17. When the employer closes the place of work to pressure workers to accept his terms, it is a
A. retrenchment
B. strike
C. boycott
D. lockout

18. 'Functional objectives' of HRM aim to
A. maximise the dividend paid to shareholders in every financial year
B. help employees fulfil their personal ambitions outside the organisation
C. ensure the firm complies with all environmental and pollution control laws
D. keep the HR department's contribution at a level suitable to the organisation's needs

19. Training needs are identified through analysis at three levels. These are
A. short-term, medium-term and long-term levels of the plan
B. organisational, task (job) and person (individual)
C. legal, social and political levels of the business environment
D. marketing, finance and production levels of the firm

20. The ranking method is best suited for
A. very large complex organisations
B. small organisations
C. government only
D. multinationals only

21. Which is the first step in the HRP process?
A. Analysing organisational objectives / plans
B. Conducting exit interviews with employees who have resigned
C. Estimating the compensation payable to the employees in the next year
D. Retrenching the surplus employees from various departments

22. The last step of the performance appraisal process is
A. establishing the standards of performance for each job
B. measuring the actual performance of the employee on the job
C. communicating the standards and expectations to the employees
D. decision making / taking corrective actions

23. The concept of management by objectives grew from the work of
A. Maslow and Herzberg
B. Taylor and Fayol
C. Drucker and McGregor
D. Kotler and Porter

24. Ratification of an agreement is required because
A. the company wants to avoid paying the agreed wages immediately
B. the union wants to postpone the implementation of the agreement
C. the negotiators may not have ultimate authority to decide the issues
D. the agreement has to be approved by the court before it is operational

25. A merit of on-the-job training is that it
A. conducted in a classroom away from the work, with no disturbance to production
B. is practical and low cost as learning happens at the actual workplace
C. particularly suited for theoretical and conceptual knowledge only
D. free from any risk of errors or damage to machines by the trainee

26. Which law-related issue influences remuneration?
A. Regulation of import duties on raw materials
B. Rules on advertising of the company's products
C. Minimum wage and overtime rules
D. Laws on the registration of company trademarks

27. Infrequent feedback in annual reviews is a challenge because
A. it makes the appraisal system more objective and accurate
B. it motivates all the employees to improve their performance
C. it gives the employee a chance to correct the mistake immediately
D. employees do not know about problems until it is too late

28. Giving low ratings on all traits because of one weak trait is the
A. halo effect
B. leniency bias
C. central tendency
D. horns effect

29. Bonuses differ from merit pay because bonuses
A. are paid monthly always
B. do not become part of base pay
C. become part of base pay
D. are never lump sums

30. Job evaluation is a systematic way of determining
A. the value or worth of a job in relation to other jobs

B. the number of employees required for each job in the department
C. the information about the tasks and duties attached to a job
D. the performance of an employee in terms of the requirements of the job

31. Industrial relations describe the relationship between
A. customers and suppliers and the organisations they deal with
B. management and employees and their organisations
C. shareholders and directors and the meetings they hold
D. banks and borrowers and the loans between them

32. The role of a Wage Board is to
A. decide the profit that an industry may distribute as dividend
B. settle individual grievances of workers about promotion
C. inspect factories for compliance with safety rules
D. recommend wage structure and related benefits for an industry

33. Human Resource Planning (HRP) is the process of
A. evaluating the past performance of employees against fixed standards
B. analysing the duties and responsibilities attached to each job in the firm
C. forecasting an organisation's future demand for and supply of employees
D. determining the compensation and fringe benefits to be paid to all employees

34. The Assessment Centre method was introduced in the
A. British Railways in 1900
B. US Navy in 1950
C. Indian Army in 1947
D. German Army in 1930

35. The Grievance Committee under the Model Grievance Procedure makes its recommendation within
A. 7 days
B. 3 days
C. 30 days
D. 48 hours

36. In the Assessment Centre method, candidates perform tasks in
A. simulated work environments
B. only written examinations
C. bank vaults
D. customer homes

37. Which is a way to overcome appraisal challenges?
A. Hide criteria from employees
B. Promote two-way dialogue and regular check-ins
C. Give feedback once in several years
D. Use only supervisor discretion

38. In the process of job evaluation, the job evaluation committee generally consists of
A. the shareholders and the directors of the company
B. the chief executive officer and the board of directors only
C. experienced employees, union representatives and HR experts
D. outside consultants appointed by the labour department

39. A plan that bases bonuses on employee productivity measured by comparing labour cost to value of products produced is
A. piece rate
B. fringe benefit
C. gainsharing
D. profit sharing

40. Employee benefits that are not conditional on future employment are
A. short-term benefits
B. vested employee benefits

C. multi-employer plans
D. termination benefits

41. A series of positions through which individuals can be promoted, transferred and rotated is a
A. grievance procedure
B. job description
C. career path
D. wage board

42. Bonuses and sales incentives are examples of
A. guaranteed pay
B. variable pay
C. benefits
D. equity-based pay

43. Discharge of surplus labour by the employer for any reason is
A. layoff
B. lockout
C. retrenchment
D. boycott

44. 'Industrial societies necessarily create industrial relations, defined as the complex of interrelations among managers, workers and agencies of government.' This is by
A. John T. Dunlop
B. Frederick Taylor
C. Henri Fayol
D. Dale Yoder

45. What is the FIRST step in the performance appraisal process?
A. Taking corrective action
B. Establishing performance standards
C. Providing feedback
D. Measuring actual performance

46. In conciliation, a third party
A. helps the parties reach a settlement but cannot impose a decision
B. decides the dispute after a formal hearing in a labour court
C. gives a binding award that both employer and union must accept
D. closes the factory until the workers give up their demands

47. Workers' participation in management means
A. transferring the ownership of the factory to the workers
B. allowing the workers to go on strike whenever they want
C. giving the workers the right to fix the prices of the products
D. involving workers in decision-making of the organisation

48. Personal objectives of HRM refer to
A. maximising dividends to shareholders
B. complying with environmental laws
C. helping employees achieve their personal goals and growth
D. reducing taxes of the company

49. Collective bargaining is described as a bipartite process because
A. only management and workers' representatives participate without third-party intervention
B. three parties - employer, workers and an arbitrator - must be present
C. the agreement is signed by the employer and the government only
D. the government and the courts always take part in the negotiations

50. In career management, the individual is mainly responsible for
A. deciding the organisation's manpower plan for the next year
B. self-assessment and setting career goals
C. approving the training budget of the whole department

D. fixing the pay structure for all jobs in the company

Answer key - Set 3

1. **C**	11. **D**	21. **A**	31. **B**	41. **C**
2. **B**	12. **A**	22. **D**	32. **D**	42. **B**
3. **A**	13. **B**	23. **C**	33. **C**	43. **C**
4. **B**	14. **A**	24. **C**	34. **D**	44. **A**
5. **C**	15. **D**	25. **B**	35. **A**	45. **B**
6. **B**	16. **A**	26. **C**	36. **A**	46. **A**
7. **D**	17. **D**	27. **D**	37. **B**	47. **D**
8. **A**	18. **D**	28. **D**	38. **C**	48. **C**
9. **D**	19. **B**	29. **B**	39. **C**	49. **A**
10. **C**	20. **B**	30. **A**	40. **B**	50. **B**

Answers with explanations

1. In India, minimum wages are legally fixed under the

Answer: C. Minimum Wages Act, 1948

Why correct: Minimum wages are fixed under the Minimum Wages Act, 1948.

A is wrong: Contract Act is about contracts.

B is wrong: Companies Act is about companies.

D is wrong: Consumer Protection Act is about consumers.

2. Stationing persons at the factory gate to dissuade workers from reporting for work is

Answer: B. picketing

Why correct: Picketing posts people at the gate to stop workers entering.

A is wrong: Gherao confines inside.

C is wrong: Lockout is employer closing.

D is wrong: Retrenchment is discharge.

3. Quitting of work by a group of workers to pressure the employer to accept demands is a

Answer: A. strike

Why correct: A strike is workers stopping work to press demands.

B is wrong: Lockout is an employer's act.

C is wrong: Picketing blocks entry.

D is wrong: Gherao confines managers.

4. Which is an on-the-job training method?

Answer: B. Job rotation

Why correct: Job rotation trains at the workplace while working.

A is wrong: A seminar lecture is off the job.

C is wrong: A simulation lab away from work is off the job.

D is wrong: A classroom case study is off the job.

5. Job evaluation begins with

Answer: C. job analysis

Why correct: Job evaluation needs job descriptions, which come from job analysis.

A is wrong: Retrenchment is a discharge.

B is wrong: A strike is a work stoppage.

D is wrong: Collective bargaining is negotiation.

6. Benefits payable due to an enterprise's decision to terminate employment before normal retirement, or voluntary retirement, are

Answer: B. termination benefits

Why correct: Termination benefits arise from early termination or voluntary retirement.

A is wrong: Vested benefits are already earned.

C is wrong: Defined contribution is a pension plan.

D is wrong: Short-term benefits are paid within a year.

7. A panel interview is conducted by

Answer: D. a group of interviewers

Why correct: A panel interview is done by a group of interviewers together.

A is wrong: An auditor does not interview.

B is wrong: A single interviewer by phone is not a panel.

C is wrong: Friends do not interview.

8. The relative pay differential among various jobs within an organisation is the

Answer: A. pay structure

Why correct: Pay structure is the relative pay among jobs inside the firm.

B is wrong: Pay form is the mix of pay types.

C is wrong: Increase basis is a different idea.

D is wrong: Pay level compares with the market.

9. A wage survey is conducted to

Answer: D. compare the organisation's pay with pay in the labour market

Why correct: A wage survey compares the firm's pay with the market.

A is wrong: Absenteeism is an attendance matter.

B is wrong: Canteen study is welfare.

C is wrong: Vacancies are planning.

10. If a worker is still not satisfied after the manager's revision, the matter may be referred to

Answer: C. voluntary arbitration

Why correct: If still unsatisfied, voluntary arbitration is the final step.

A is wrong: Dismissal is not a remedy.

B is wrong: A lockout is not a step.

D is wrong: A strike notice is not a procedure step.

11. In BARS, a rating of 5 is described as

Answer: D. Outstanding

Why correct: On the BARS scale 5 is the top rating, Outstanding.

A is wrong: Satisfactory is the middle point, 3.

B is wrong: Needs improvement is 2.

C is wrong: Poor is 1, the lowest point.

12. Under the classification method, jobs are

Answer: A. assigned to predetermined job classes or grades

Why correct: Classification puts jobs into set classes or grades.

B is wrong: Scoring points is the point method.

C is wrong: Ranking as a whole is the ranking method.

D is wrong: Factor by factor is factor comparison.

13. Trade unions generally prefer which objective criterion for pay rises?

Answer: B. Seniority

Why correct: Unions prefer seniority because it is objective and secure.

A is wrong: Potential is subjective.

C is wrong: Individual negotiation weakens the union.

D is wrong: Performance rating is subjective.

14. A short-term arrangement that temporarily assigns a replacement in sudden situations is

Answer: A. emergency / interim succession planning

Why correct: Emergency / interim succession is a short-term stop-gap for sudden loss.

B is wrong: Career pathing is long-term movement.

C is wrong: Departure-defined is begun on a known exit.

D is wrong: Strategic development extends over years.

15. Planning, organising, directing and controlling of HR activities are the

Answer: D. managerial functions of HRM

Why correct: Planning, organising, directing and controlling are the four classic management functions applied to HR - the managerial functions.

A is wrong: Marketing functions deal with products and customers.

B is wrong: Operative functions are the hands-on HR activities (procurement, development, compensation...).

C is wrong: Financial functions deal with funds, not HR activities.

16. Which is an EXTERNAL factor influencing compensation?

Answer: A. Inflation

Why correct: Inflation is outside the firm's control, so external.

B is wrong: Strategy is internal.

C is wrong: Seniority is internal.

D is wrong: Job evaluation is internal.

17. When the employer closes the place of work to pressure workers to accept his terms, it is a

Answer: D. lockout

Why correct: Lockout: employer shuts the workplace.

A is wrong: Retrenchment is discharge.

B is wrong: Strike is by workers.

C is wrong: Boycott is refusal to deal.

18. 'Functional objectives' of HRM aim to

Answer: D. keep the HR department's contribution at a level suitable to the organisation's needs

Why correct: Functional objectives keep the HR department's level of service in line with what the organisation needs.

A is wrong: Dividends are a finance objective.

B is wrong: Personal ambitions outside the firm are not an HR objective.

C is wrong: Environmental compliance is a societal objective.

19. Training needs are identified through analysis at three levels. These are

Answer: B. organisational, task (job) and person (individual)

Why correct: Training needs are studied at organisation, task (job) and person level.

A is wrong: Time horizons are planning terms.

C is wrong: Legal, social, political are environment factors.

D is wrong: Marketing, finance, production are functions.

20. The ranking method is best suited for

Answer: B. small organisations

Why correct: Ranking is simple but subjective, so only small firms can use it.

A is wrong: Large complex firms need detailed methods.

C is wrong: Government is not specific to ranking.

D is wrong: Multinationals need detailed methods.

21. Which is the first step in the HRP process?

Answer: A. Analysing organisational objectives / plans

Why correct: HR plans flow from the organisation's objectives, so the first step is analysing them.

B is wrong: Exit interviews are an after-the-fact tool.

C is wrong: Compensation estimates come after the plan exists.

D is wrong: Retrenchment is a later decision.

22. The last step of the performance appraisal process is

Answer: D. decision making / taking corrective actions

Why correct: After discussing results, decisions and corrective actions follow.

A is wrong: Standards are first.

B is wrong: Measurement is mid-process.

C is wrong: Communicating standards is early.

23. The concept of management by objectives grew from the work of

Answer: C. Drucker and McGregor

Why correct: MBO grew from Drucker and McGregor.

A is wrong: Maslow and Herzberg are motivation theorists.

B is wrong: Taylor and Fayol are scientific/classical management.

D is wrong: Kotler and Porter are marketing/strategy.

24. Ratification of an agreement is required because

Answer: C. the negotiators may not have ultimate authority to decide the issues

Why correct: The negotiators may not have final authority, so the members or management must ratify.

A is wrong: Ratification is not a way to delay payment.

B is wrong: The union does not ratify to postpone it.

D is wrong: A court need not approve an agreement.

25. A merit of on-the-job training is that it

Answer: B. is practical and low cost as learning happens at the actual workplace

Why correct: On-the-job training is practical and cheap since people learn at the real workplace.

A is wrong: Classroom is off-the-job.

C is wrong: It suits practical skills, not only theory.

D is wrong: Errors and damage are possible.

26. Which law-related issue influences remuneration?

Answer: C. Minimum wage and overtime rules

Why correct: Minimum wage and overtime laws set legal pay floors.

A is wrong: Import duties are trade law.

B is wrong: Advertising rules are marketing law.

D is wrong: Trademark laws are IP law.

27. Infrequent feedback in annual reviews is a challenge because

Answer: D. employees do not know about problems until it is too late

Why correct: Rare feedback means employees find out about problems too late.

A is wrong: Infrequent feedback makes the system less accurate, not more.

B is wrong: Late feedback demotivates rather than motivates.

C is wrong: Immediate correction is what frequent feedback gives, not rare feedback.

28. Giving low ratings on all traits because of one weak trait is the

Answer: D. horns effect

Why correct: Horns effect: one weak trait makes the rater score all traits low.

A is wrong: Halo effect is the opposite, raising all scores.

B is wrong: Leniency bias gives everyone high scores regardless of traits.

C is wrong: Central tendency means rating everyone average.

29. Bonuses differ from merit pay because bonuses

Answer: B. do not become part of base pay

Why correct: Bonuses are one-time lump sums that do not join base pay.

A is wrong: Bonus timing varies.

C is wrong: Merit pay joins base pay.

D is wrong: Bonuses usually are lump sums.

30. Job evaluation is a systematic way of determining

Answer: A. the value or worth of a job in relation to other jobs

Why correct: Job evaluation determines a job's worth relative to other jobs to build a fair pay structure.

B is wrong: Number of employees is manpower planning.

C is wrong: Tasks and duties information is job analysis.

D is wrong: Employee performance is appraisal.

31. Industrial relations describe the relationship between

Answer: B. management and employees and their organisations

Why correct: Industrial relations is the relationship between management, employees and their organisations.

A is wrong: Customers and suppliers are business relations.

C is wrong: Shareholders and directors are corporate relations.

D is wrong: Banks and borrowers are financial relations.

32. The role of a Wage Board is to

Answer: D. recommend wage structure and related benefits for an industry

Why correct: A Wage Board recommends wage structure and benefits for an industry.

A is wrong: Dividend decisions are the company's.

B is wrong: Individual grievances go to grievance procedure.

C is wrong: Safety inspection is by factory inspectors.

33. Human Resource Planning (HRP) is the process of

Answer: C. forecasting an organisation's future demand for and supply of employees

Why correct: HRP forecasts future demand for and supply of employees so the right people are available.

A is wrong: Evaluating past performance is performance appraisal.

B is wrong: Analysing job duties is job analysis.

D is wrong: Fixing compensation is a pay function.

34. The Assessment Centre method was introduced in the

Answer: D. German Army in 1930

Why correct: The assessment centre method began in the German Army in 1930.

A is wrong: British Railways 1900 is wrong.

B is wrong: US Navy 1950 is wrong.

C is wrong: Indian Army 1947 is wrong.

35. The Grievance Committee under the Model Grievance Procedure makes its recommendation within

Answer: A. 7 days

Why correct: The Grievance Committee gives its recommendation within 7 days.

B is wrong: 3 days is the department head's time.

C is wrong: 30 days is too long.

D is wrong: 48 hours is the officer's time.

36. In the Assessment Centre method, candidates perform tasks in

Answer: A. simulated work environments

Why correct: Candidates do tasks in simulated work situations.

B is wrong: It is not a written exam only.

C is wrong: Bank vaults are not used.

D is wrong: Customer homes are not used.

37. Which is a way to overcome appraisal challenges?

Answer: B. Promote two-way dialogue and regular check-ins

Why correct: Regular two-way talks let problems be fixed early and make appraisal fair.

A is wrong: Hidden criteria cause distrust and confusion.

C is wrong: Feedback once in years is too late to correct anything.

D is wrong: Supervisor discretion alone invites bias.

38. In the process of job evaluation, the job evaluation committee generally consists of

Answer: C. experienced employees, union representatives and HR experts

Why correct: The committee mixes experienced employees, union and HR experts so no single view dominates.

A is wrong: Shareholders do not evaluate jobs.

B is wrong: CEO and board alone are too far from the jobs.

D is wrong: Labour department consultants are not the usual committee.

39. A plan that bases bonuses on employee productivity measured by comparing labour cost to value of products produced is

Answer: C. gainsharing

Why correct: Gainsharing shares savings from higher productivity.

A is wrong: Piece rate is per unit.

B is wrong: Fringe benefits are not bonuses.

D is wrong: Profit sharing uses overall profit.

40. Employee benefits that are not conditional on future employment are

Answer: B. vested employee benefits

Why correct: Vested benefits are already earned regardless of future service.

A is wrong: Short-term benefits are paid soon.

C is wrong: Multi-employer plans are a plan type.

D is wrong: Termination benefits depend on exit.

41. A series of positions through which individuals can be promoted, transferred and rotated is a

Answer: C. career path

Why correct: A career path is the ladder of positions an employee can move through.

A is wrong: A grievance procedure handles complaints.

B is wrong: A job description lists duties of one job.

D is wrong: A wage board fixes wages.

42. Bonuses and sales incentives are examples of

Answer: B. variable pay

Why correct: Bonuses and incentives depend on performance, so they are variable.

A is wrong: Guaranteed pay is fixed.

C is wrong: Benefits are non-cash perks.

D is wrong: Equity pay uses shares.

43. Discharge of surplus labour by the employer for any reason is

Answer: C. retrenchment

Why correct: Retrenchment is permanent discharge of surplus staff.

A is wrong: Layoff is temporary.

B is wrong: Lockout is closure.

D is wrong: Boycott is refusal.

44. 'Industrial societies necessarily create industrial relations, defined as the complex of interrelations among managers, workers and agencies of government.' This is by

Answer: A. John T. Dunlop

Why correct: John T. Dunlop defined IR as interrelations among managers, workers and government agencies.

B is wrong: Taylor is scientific management.

C is wrong: Fayol is administrative management.

D is wrong: Dale Yoder's definition differs.

45. What is the FIRST step in the performance appraisal process?

Answer: B. Establishing performance standards

Why correct: You must first set standards before measuring performance.

A is wrong: Corrective action is last.

C is wrong: Feedback comes after comparison.

D is wrong: Measuring comes after standards.

46. In conciliation, a third party

Answer: A. helps the parties reach a settlement but cannot impose a decision

Why correct: A conciliator persuades; the parties decide and nothing is imposed.

B is wrong: Hearing in a court is adjudication.

C is wrong: Binding awards come from arbitration/adjudication.

D is wrong: Closing the factory is a lockout.

47. Workers' participation in management means

Answer: D. involving workers in decision-making of the organisation

Why correct: Workers' participation means involving workers in decision-making.

A is wrong: Ownership transfer is not participation.

B is wrong: Strike whenever is not participation.

C is wrong: Fixing prices is not their role.

48. Personal objectives of HRM refer to

Answer: C. helping employees achieve their personal goals and growth

Why correct: Personal objectives help employees reach their own goals and grow, which keeps them motivated.

A is wrong: Dividends are a shareholder / finance matter.

B is wrong: Environmental law compliance is a societal objective.

D is wrong: Tax reduction is a finance matter.

49. Collective bargaining is described as a bipartite process because

Answer: A. only management and workers' representatives participate without third-party intervention

Why correct: 'Bipartite' means two parties: only management and workers' representatives negotiate, with no outsider deciding.

B is wrong: Three parties (with an arbitrator) would make it tripartite.

C is wrong: The agreement is between employer and employees, not the government.

D is wrong: The government and courts are not always part of it.

50. In career management, the individual is mainly responsible for

Answer: B. self-assessment and setting career goals

Why correct: The individual assesses himself and sets career goals.

A is wrong: Manpower plan is the organisation's task.

C is wrong: Training budget is management's task.

D is wrong: Pay structure is HR's task.